

Chapter 4

Too Much Counting, Not Enough Trust

Albert Einstein was without peer as a theoretical physicist (save, perhaps, Sir Isaac Newton). Probably no human being in history did more to quantify the seemingly unfathomable mysteries of the universe. But he wasn't so much into mathematics, saying, "Do not worry about your difficulties in mathematics. I assure you mine are still greater."

Indeed, Einstein well understood the limits of quantification and the flaws inherent in thinking that counting alone could advance our understanding of how the world works. A sign that hung in his office at the Institute for Advanced Study in Princeton, New Jersey, is as applicable to all other human pursuits as it is to science:

Not everything that counts can be counted, and not everything that can be counted counts.

That rule also applies to the conduct of business affairs. Of course, as the father of relativity, Einstein has to be taken in relative terms. No business can trust everything and count nothing. Nor can any business count everything and trust nothing. It's all a question of balance, although my own instincts lead me toward far less reliance on counting and far more reliance on trusting. Statistics—in charts, graphs, and tables—can be used to prove almost anything in business, but unquantifiable values have a way of holding steady as a rock.

During my sophomore year at Princeton University, back in 1948, that lesson began to sink into my brain. It was there that my interest in economics began with my study of the first edition of Paul Samuelson's *Economics: An Introductory Analysis*. In that ancient era, economics was heavily conceptual and traditional. Our study covered both economic theory and the worldly philosophers from the eighteenth century on—Adam Smith, John Stuart Mill, John Maynard